MICROECONOMICS

MICRO-57

Time: 5 minutes

Outcome: Use marginal productivity to analyze labor demand, wages, and employment.

Difficulty: ●●○ Intermediate

Factor Markets & Labor Demand

THE CORE IDEA

Labor demand is derived from the value workers add to output. Marginal product of labor is the extra output from one more worker. For a price-taking seller, VMP = output price x MPL. A profit-maximizing firm hires labor up to the point where VMP equals the wage.

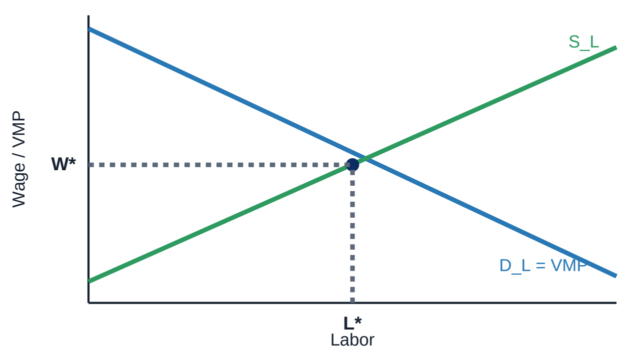
HOW TO RECOGNIZE IT

- A wage change causes movement along labor demand; productivity or output-price changes shift labor demand.
- Higher product demand, output price, or worker productivity shifts labor demand right.
- Worker preferences, population, migration, training, and alternative jobs can shift labor supply.
- Competitive wage and employment occur where market labor demand intersects market labor supply.

WATCH OUT

Do not confuse MPL with VMP. MPL is extra physical output; VMP converts that output into dollars by multiplying by the output price.

WORKED EXAMPLE: VMP HIRING RULE



A worker adds 6 units of output per hour and each unit sells for $5, so VMP = $5 x 6 = $30 per hour. At a $24 wage, hiring the worker adds $6 to profit. The firm continues hiring until the next worker's VMP falls to the wage.

CHECK YOURSELF

If the output price rises while worker productivity is unchanged, what happens to labor demand?

READY? Return to the game and master this concept.